ITC Limited

NSE: ITC | BSE: 500875 | Sector: FMCG / Conglomerate | Founded: 1910 | HQ: Kolkata
CMP: Rs.291 | 52W H/L: Rs.444/Rs.289 | Mkt Cap: Rs.3,65,000 Cr | P/E: ~10.5x | Div Yield: ~6.9%

ITC Limited is a diversified Indian conglomerate operating in FMCG, Agri Business, and Paperboards, Paper & Packaging. In January 2025, it demerged its Hotels business into ITC Hotels Limited, retaining a 39.88% associate stake. For FY25, the company reported standalone gross revenue of ₹73,465 crore. ITC is the market leader in the Indian cigarette industry and has a strong presence in packaged foods and personal care. Its operations are supported by 250+ factories, a distribution network of ~7 million retail outlets, and strong agri sourcing through e-Choupal and ITCMAARS platforms.

Investment Thesis & Rating

- Cigarettes business (50% of EBIT) is a cash-generation engine: ~75% market share, 60%+ EBIT margins. Pricing power demonstrated by consistent excise pass-throughs to consumers.
- FMCG-Others achieving profitability inflection: EBITDA margin improved to ~10% in FY25 from breakeven 5 years ago. Brands like Aashirvaad, Sunfeast, Bingo!, YiPPee! are category leaders.
- Agri-business provides hedge against rural consumption trends with strong export capabilities. Paperboards division is India's #1 player with 25%+ market share.
- Attractive valuation: P/E of ~10.5x with 6.9% dividend yield offers deep value. Stock has corrected ~29% from 52W high, pricing in excise duty concerns.
- Post-Hotels demerger, ITC's capital allocation sharpens with focus on FMCG scale-up and higher dividend payout (80%+ payout ratio).

Analysts Rating

BUY

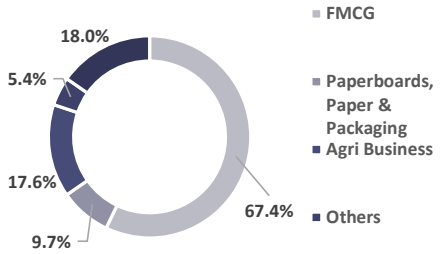
Target : ₹ 525

Note: ICICI Securities Target (Mar 2026)

Business Model & Revenue Drivers

- Cigarettes (38% of rev, ~50% of EBIT): Manufactures and sells cigarettes under Gold Flake, Classic, Navy Cut, etc. Revenue driven by volume and pricing. EBIT margin ~60%+.
- FMCG-Others (27% of rev): Packaged foods (Aashirvaad, Sunfeast, Bingo!), personal care (Fiama, Vivel), stationery (Classmate). Revenue Rs.20,000+ Cr; EBITDA margin ~10%.
- Agri Business (22% of rev): Trading and export of agri commodities (wheat, rice, soya, spices). Thin margins (~5%) but high absolute revenue.
- Paperboards & Packaging (10% of rev): India's largest manufacturer; supplies to FMCG, pharma, and e-commerce sectors. EBIT margin ~20%.
- IT Services / ITC Infotech (3% of rev): Mid-tier IT services company. Stable contributor with ~20% EBIT margin.

Verticals



Industry Landscape & Competitive Advantage

- India's legal cigarette market: Rs.55,000+ Cr. ITC commands ~75% share. Industry volumes declining ~2% p.a. but pricing growth of 6-8% offsets. Grey market (bidis, illicit) = 85% of tobacco consumption.
- India FMCG market: $110 Bn+ (2025E), growing at 8-10% p.a. ITC is 4th largest FMCG player after HUL, Nestle, and Britannia.
- Key competitors: Cigarettes: Godfrey Phillips, VST Industries. FMCG: HUL, Nestle, Britannia, Dabur. Paperboards: JK Paper, West Coast Paper.
- **Competitive moats**: (a) unmatched distribution reach (6mn+ retail outlets), (b) ITC e-Choupal rural network, (c) integrated supply chain from farm to fork, (d) brand portfolio spanning price points.

Peer Valuation Snapshot

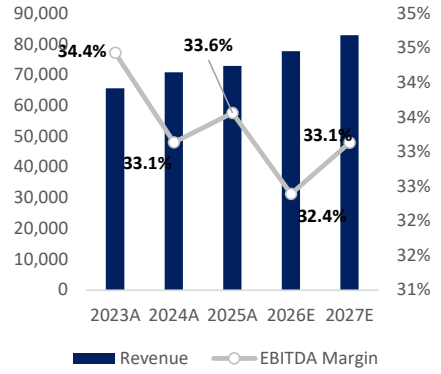
Metric	ITC	HUL	Godrej
M.Cap	Rs.24K Cr	Unlisted	Rs.12K Cr
P/E	~45x	N/A	~25x
EBITDA %	~60%	~55%	~42%
Rev Growth	31%	~20%	~15%

Financial Summary & Forward Estimates

Financial Performance (In Crs)	2023A	2024A	2025A	2026E	2027E
Revenue	₹ 65,780	₹ 70,919	₹ 73,000	₹ 77,800	₹ 83,000
EBITDA	₹ 22,651	₹ 23,500	₹ 24,500	₹ 25,200	₹ 27,500
Net Profit	₹ 18,753	₹ 20,592	₹ 20,000	₹ 19,900	₹ 21,500
EBITDA Margin	34.4%	33.1%	33.6%	32.4%	33.1%
Net Profit Margin	28.5%	29.0%	27.4%	25.6%	25.9%
Revenue Growth	14%	8%	3%	7%	7%
EPS	₹ 15.00	₹ 16.40	₹ 16.00	₹ 15.90	₹ 17.20

Note:
1. FY26E impacted by lower market volumes in H1.
2. Forward estimates reflect consensus.

Revenue with EBITDA Margin

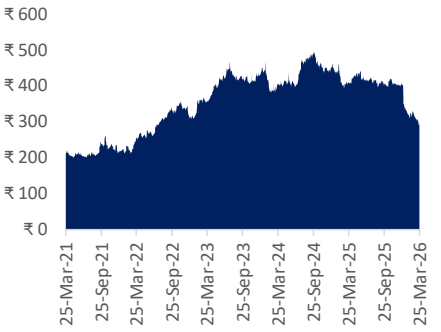


Key Catalysts & Risks

Key Catalysts

- FMCG-Others EBITDA margin expanding towards 12-15% by FY28; brands achieving critical scale
- Cigarette price hikes post Feb-26 excise duty to protect EBIT per stick
- Hotels demerger unlocks standalone FMCG valuation; potential re-rating
- 6.9% dividend yield provides downside protection at current levels

Key Risks

- Excise duty hikes (Feb 2026) may compress cigarette volumes in near term
- ESG-related de-rating risk due to tobacco exposure; institutional selling pressure
- FMCG-Others profitability still subscale vs HUL; execution risk on margin expansion
- Agri-business revenue lumpy; dependent on trade policy and commodity cycles

Stock Price - 5 Years